OTC MARKETS GROUP INC.

A Delaware Corporation

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Federal EIN: 13-3941069
NAICS: 523210
SIC Code: 6289

Issuer's Quarterly Report

For the quarterly period ended June 30, 2019
(the "Reporting Period")

ISSUER'S EQUITY SECURITIES

COMMON STOCK

Class A Common Stock
$0.01 Par Value Per Share
14,000,000 Shares Authorized
11,641,943 Shares Outstanding as of July 31, 2019
OTCQX: OTCM

OTC Markets Group Inc. is responsible for the content of this Quarterly Report. The securities described in this document are not registered with, and the information contained in this report has not been filed with, or approved by, the U.S. Securities and Exchange Commission.

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QUARTERLY REPORT

Cautionary Note Regarding Forward-Looking Statements

Information set forth in this Quarterly Report (the "Quarterly Report") contains forward-looking statements, which involve a number of risks and uncertainties that could cause our actual results to differ materially from those reflected in the forward-looking statements. Forward-looking statements can be identified by use of the words "expect," "project," "may," "might," "potential," and similar terms. OTC Markets Group Inc. ("OTC Markets Group," "we" or the "Company") cautions readers that any forward-looking information is not a guarantee of future performance and that actual results could differ materially from those contained in the forward-looking information. Forward-looking statements involve a number of risks, uncertainties or other factors beyond OTC Markets Group's control. These factors include, but are not limited to, our ability to implement our strategic initiatives, economic, political and market conditions and price fluctuations, government and industry regulation, U.S. and global competition, and the risk factors discussed under the heading "Risk Factors" in our Annual Report for the year ended December 31, 2018. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements. We undertake no obligation to update any forward-looking statement, whether as a result of new information, future events or otherwise.

Item 1. The exact name of the issuer and the address of its principal executive offices

The name of the issuer is OTC Markets Group Inc.

Company description

OTC Markets Group Inc. (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market, and the Pink® Open Market for 10,000 U.S. and global securities. Through our two Securities and Exchange Commission ("SEC") registered alternative trading systems ("ATS"), OTC Link® ATS and OTC Link ECN, we connect a diverse network of Financial Industry Regulatory Authority ("FINRA") member broker-dealers that provide liquidity and execution services. We enable investors to easily trade through the broker of their choice and empower companies to improve the quality of information available for investors.

The address of the issuer is:	**300 Vesey Street, 12th Floor** **New York, NY 10282**
The telephone and facsimile are:	**Telephone: (212) 896-4400** **Facsimile: (212) 868-3848**

The issuer's website:	**OTC Markets Group's corporate website, www.otcmarkets.com, contains general information about us and our products and services. We also maintain www.otciq.com, www.otcdealer.com, www.qaravan.com and www.virtualinvestorconferences.com. The information contained on such websites shall not be deemed incorporated by reference herein.**
Investor relations contact:	**Bea Ordonez, Chief Financial Officer 300 Vesey Street, 12th Floor New York, NY 10282 Telephone: (212) 220-2215 ir@otcmarkets.com**

Item 2. Shares outstanding

The Company is authorized to issue 14,000,000 shares of Class A common stock of $0.01 par value.

None of OTC Markets Group's common stock has been registered under the Securities Act of 1933, as amended (the "Securities Act"), and we have no current plans to register any of our securities. Certain shares of our common stock are currently eligible for resale in the public market pursuant to the exemption from registration offered by Rule 144 under the Securities Act ("Rule 144"). The remaining outstanding shares of our common stock are "restricted securities" within the meaning of Rule 144, and may be eligible for resale in the future.

The following table shows Class A common stock share ownership as of June 30, 2019:

		June 30, 2019
(i)	Number of shares authorized	14,000,000
(ii)	Number of shares outstanding	11,635,446
(iii)	Number of shares freely tradable (public float)(1)(2)	7,179,580
(iv)	Total number of holders of record	195

(1) The number of shares freely tradable may include shares held by shareholders owning 10% or more of our Class A common stock. These shareholders may be considered "affiliates" within the meaning of Rule 144, and their shares may be "control shares" subject to the volume and manner of sale restrictions under Rule 144.

(2) Our officers and directors hold approximately 4.4 million shares of our Class A common stock, which may be "control shares" subject to the volume and manner of sale restrictions under Rule 144. These shares are excluded from the number of shares freely tradable.

As of June 30, 2019, there are 1,559 non-objecting beneficial shareholders owning at least 100 shares of the Company's Class A common stock.

Our Class A common stock trades on the OTCQX market under the symbol OTCM (CUSIP Number: 67106F108).

Dividends

The declaration of dividends by OTC Markets Group is subject to the discretion of our Board of Directors. Our Board of Directors will consider such matters as general business conditions, our financial results, capital requirements, contractual, legal and regulatory restrictions on the payment of dividends and such other factors as our Board of Directors may deem relevant.

During the six months ended June 30, 2019, our Board of Directors authorized and approved the following cash dividends:

Declaration Date	Dividend Per Common Share	Record Date	Total Amount (in thousands)	Payment Date
March 06, 2019	$ 0.15	March 18, 2019	$ 1,743	March 28, 2019
May 08, 2019	0.15	June 13, 2019	1,746	June 27, 2019

On August 6, 2019, the Board of Directors authorized and approved a quarterly cash dividend of $0.15 per share of Class A common stock. The dividend is payable on September 26, 2019 to our stockholders of record on September 12, 2019.

Stock Buyback Program

On March 5, 2019, the Board of Directors refreshed the Company's stock repurchase program, giving the Company authorization to repurchase up to 300,000 shares of the Company's Class A common stock. The Company is authorized to purchase shares from time to time on the open market and through block trades, in accordance with the safe harbor provision of Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act").

The following table shows purchases made by the Company of the Company's Class A common stock during the six months ended June 30, 2019.

Date	Number of Shares Purchased	Average Price Paid Per Share	Number of Shares Purchased as Part of Announced Repurchase Plan	Number of Shares Remaining To Be Purchased Under Announced Plan
Feb 2019	46,711	$29.75	46,711	300,000[(1)]

(1) In March 2019, the Board of Directors refreshed the Company's stock repurchase program, authorizing the Company to repurchase up to 300,000 shares of the Class A common stock.

Item 3. Unaudited interim condensed consolidated financial statements

Copies of the unaudited interim condensed consolidated financial statements of OTC Markets Group for the three and six months ended June 30, 2019 and June 30, 2018, including the unaudited interim Condensed Consolidated Balance Sheets, Condensed Consolidated Statements of Income, Condensed Consolidated Statements of Cash Flows, Condensed Consolidated Statements of Stockholders' Equity and Notes to the condensed consolidated financial statements, are attached hereto as Exhibit 3.1 and are hereby incorporated by reference into this Quarterly Report.

The unaudited interim condensed consolidated financial statements have been prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"). The accompanying unaudited interim condensed consolidated financial statements reflect all adjustments which are, in the opinion of management, necessary for a fair statement of the results for the interim periods presented. These adjustments are of a normal recurring nature. As permitted under U.S. GAAP, certain footnotes or other financial information are condensed or omitted in the unaudited interim condensed consolidated financial statements. These unaudited interim condensed consolidated financial statements should be read in conjunction with the consolidated financial statements and related notes included in our Annual Report for the year ended December 31, 2018. The December 31, 2018 unaudited Condensed Consolidated Balance Sheet was derived from audited consolidated financial statements contained in our Annual Report for the year ended December 31, 2018, but does not include all disclosures required by U.S. GAAP. Operating results for the interim periods are not necessarily indicative of the results that may be expected for the fiscal year ending December 31, 2019.

Item 4. Management's discussion and analysis

Overview

Our mission is to create better informed and more efficient financial markets.

We operate three business lines:

- OTC Link LLC is a FINRA member broker-dealer that operates two SEC registered ATSs.
- Market Data Licensing distributes market data and financial information.
- Corporate Services operates the OTCQX and OTCQB markets and offers issuers disclosure and regulatory compliance products.

We facilitate transparent trading by connecting brokers, organizing markets and incentivizing disclosure. We distribute market data that informs investment decisions, enables the efficient pricing of risk, and assists regulated entities in meeting their compliance obligations. We provide the benefits of public trading to a wide spectrum of U.S. and global companies.

Our Business

Our wholly-owned subsidiary, OTC Link LLC, a FINRA member broker-dealer, operates OTC Link ATS and OTC Link ECN, both SEC registered ATSs. Accordingly, OTC Link LLC, OTC Link ATS and OTC Link ECN are subject to the direct regulatory oversight of the SEC and FINRA.

OTC Link ATS offers our broker-dealer subscribers a fully-attributable, network-based model for quoting and facilitating transactions in OTC equity securities and serves a diverse community of FINRA member broker-dealers that operate as market makers, agency brokers and ATSs, including Electronic Communication Networks ("ECNs"). OTC Link ATS provides a suite of quotation and trade-messaging services offering broker-dealers control of trades and choice of counterparties so they can efficiently provide best execution, attract order flow, and comply with FINRA and SEC regulations. Unlike traditional exchanges and matching engines, OTC Link ATS is not an intermediary. Rather, OTC Link ATS delivers trade messages electronically, allowing subscribers to execute or negotiate trades.

OTC Link ECN functions as a matching engine and router for certain OTC securities. OTC Link ECN complements OTC Link ATS by providing FINRA registered broker-dealer subscribers with anonymous order matching functionality. OTC Link ECN acts as an agency intermediary in relation to all transactions executed on the ECN's platform. When orders do not match internally on OTC Link ECN's matching engine, they are routed to an interdealer quotation system where they may appear as quotes using the market participant identifier "OTCX". Pursuant to applicable FINRA rules, OTC Link ECN submits trade reports to FINRA's OTC Reporting Facility. All transactions executed on OTC Link ECN are cleared and settled pursuant to a clearing agreement with Apex Clearing Corporation.

OTC Markets Group provides our subscribers with access to extensive market data and financial information. Due to the role OTC Link ATS plays in the trading process, and our interaction with issuers, we generate a significant amount of market data and information about companies. Our market data consists of real-time, delayed and end-of-day quotation and trading data, as well as security master data, company reference data, compliance data and compliance analytics for OTCQX, OTCQB and Pink securities.

We offer a suite of market data licenses, priced per enterprise or per user, through direct connectivity and third-party market data redistributors and Order Management Systems ("OMS"). Depending on the license type, subscribers may distribute the market data on an internal-only basis, redistribute to clients or redistribute to the public. We generate a majority of our market data revenues from sales through market data redistributors, and certain of our market data licensing agreements include redistribution fees and rebates.

We also charge for the display of advertisements on www.otcmarkets.com.

Our Corporate Services business line includes the OTCQX Best Market, the OTCQB Venture Market and the Pink Open Market, and our suite of disclosure and information services.

The OTCQX Best Market provides efficient public trading without the complexity and cost of a national securities exchange listing. Companies that meet high financial standards, practical corporate governance standards and timely public disclosure requirements can have their securities qualify to trade on the OTCQX Best Market. To join OTCQX, companies must meet minimum financial, disclosure and qualitative standards, pay annual fees, and meet the requirements set out in our OTCQX Rules on an ongoing basis. Companies pay a one-time application fee and annual fees upon renewal.

The OTCQX market is divided into OTCQX U.S. and OTCQX International. OTCQX for Banks, an expansion of the OTCQX market for U.S. companies, is specifically aimed at meeting the needs of community and regional banks. The OTCQX International market is targeted towards (i) large global companies that meet the listing standards of a qualified non-U.S. stock exchange in their primary market and do not see value in meeting multiple regulatory, compliance, disclosure, and accounting standards, and (ii) global emerging growth companies that are listed on a qualified non-U.S. stock exchange and may be working towards a U.S. exchange listing, but are not yet ready to deploy the management resources necessary to handle the operational complexity and cost burdens.

The OTCQB Venture Market provides public trading for developing and venture-stage companies and applies standards that promote price transparency and facilitate public disclosure. OTCQB is open to international companies that trade in the U.S. in reliance on one of various available exemptions from SEC registration and to domestic companies that comply with our Alternative Reporting Standard and, in each case, meet the applicable OTCQB standards.

Securities traded on OTC Link ATS that do not meet the standards of, or choose not to apply for, the OTCQX Best Market or the OTCQB Venture Market are traded on the Pink Open Market. Companies on the Pink market are categorized as "Pink Current Information," "Pink Limited Information" or "Pink No Information" based on the sufficiency and timeliness of the information they provide to investors. Securities traded on the Pink Open Market that are the subject of a public interest concern may be flagged "Caveat Emptor" or buyer beware.

Pink companies can subscribe to our OTC Disclosure & News Service® to make current information available to their investors on our website and through our distribution channels.

Recent Business Developments

Launch of OTCQX Cannabis Index

In April 2019, we announced the launch of the OTCQX® Cannabis Index, a new performance benchmark for cannabis companies trading on the OTCQX Best Market.

The OTCQX Cannabis Index is designed to highlight for investors the diversity of cannabis companies that meet the financial, disclosure and corporate governance standards required to trade on the OTCQX market. Eligible securities for the OTCQX Cannabis Index must be traded on OTCQX, be identified as having operations in the cannabis space, and meet a minimum liquidity screen.

As of August 1, roughly 63 cannabis-related securities trade on the OTCQX Market. Thirty of these securities comprise the OTCQX Cannabis Index.

Launch of Qaravan℠ CECL Solution

In May 2019, we launched our Qaravan CECL Solution, a turnkey approach for banks to efficiently collect and analyze data related to a firm's assessment of their Current Expected Credit Losses. The CECL solution collects data, generates reports and documents analyses and assumptions that align with and assist firms in their adoption of the Financial Accounting Standards Board's ("FASB") new expected credit loss accounting standard. Our Qaravan CECL software module is tailored to meet the needs of the more than 5,000 U.S. regional and community banks seeking a streamlined approach to compliance with the FASB's standard as well as evolving regulatory guidance. FASB voted on July 17, 2019 to propose delaying the effective date for adoption of the guidance for smaller reporting companies, as defined by the SEC, and all non-public entities to January 2023. The new FASB guidance is expected to become effective for large accelerated filers, as defined by the SEC, in respect of accounting periods beginning on or after December 15, 2019. It is not yet possible to determine the extent to which the Qaravan CECL solution will affect our financial results.

Virtual Investor Conferences℠ Business

In January 2019, we announced our acquisition from PR Newswire Association LLC, of assets related to the online investor conference platform, Virtual Investor Conferences. During the first quarter, we devoted resources to the integration of the core assets of this service offering into our existing Corporate Services business line.

During the second quarter, we hosted 7 Virtual Investor Conferences events reaching more than 6,000 investors, including a Depositary Receipts Virtual Investor Conference in partnership with Deutsche Bank, a resource company event and an event focused on the cannabis sector. In the short term, we do not expect that our acquisition of the Virtual Investor Conferences business will have a material impact on our financial results, however, we expect the Virtual Investor Conferences business to be accretive to earnings over the longer term.

Launch of Canari℠ Compliance Tool

In April 2019, we launched Canari, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink and Grey Market securities (those without a public quote). The Canari user interface allows subscribers to quickly access risk scoring metrics and provides comprehensive analytics and other key data points. Through this product, we hope to further extend the reach of our suite of Compliance Analytics products. It is not yet possible to determine the impact that this product will have on our financial results.

Recent Regulatory Developments Impacting our Business

Blue Sky Secondary Trading Exemptions for OTCQX and OTCQB

As of August 1, 2019, our OTCQX and OTCQB markets are exempt under state Blue Sky laws regarding secondary trading in thirty-six states – Alaska, Arkansas, Colorado, Connecticut, Delaware, Georgia, Hawaii, Idaho (OTCQX only), Indiana, Iowa, Kansas (OTCQX only), Kentucky, Louisiana, Maine, Michigan, Minnesota, Mississippi, Missouri, Nebraska, New Jersey, New Mexico, North Dakota, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, South Dakota, Tennessee, Texas, Utah, Vermont (OTCQX only), Washington, West Virginia, Wisconsin and Wyoming. State Blue Sky laws generally help investors make informed decisions by mandating that companies disclose accurate and current information when offering or marketing securities.

In connection with this initiative, in July 2018 the North American Securities Administrators Association ("NASAA"), the national organization of state securities regulators, announced a proposed model rule that would recognize OTC Markets Group as a "securities manual" with respect to securities on the OTCQX and OTCQB markets. If adopted by NASAA, the proposed model rule could lead to additional states recognizing these markets.

We believe recognition of our markets by state regulators, and the resulting Blue Sky exemptions, will make OTCQX and OTCQB more attractive to current and prospective companies. However, the potential impact of this initiative on our financial results is indirect, and therefore difficult to determine.

Regulation A+

Regulation A+, an SEC offering exemption under Title IV of the Jumpstart Our Business Startups (JOBS) Act, allows qualifying companies to conduct public offerings up to $50 million in a 12-month period.

As originally enacted, Regulation A+ was not available to SEC reporting issuers. On January 31, 2019, the SEC adopted rules amending Regulation A+ to allow SEC reporting companies to use this capital raising tool. This amendment was based largely on our 2016 Petition for Rulemaking.

The continued development of the Regulation A+ market in the coming months and years will determine the extent to which Regulation A+ will affect our financial results.

SEC Concept Release

On June 18, 2019, the SEC published a Concept Release on Harmonization of Securities Offering Exemptions (the "Concept Release"), seeking comments on various registration exemptions under the Securities Act and other federal securities laws concerning capital formation, including rules governing secondary trading. We intend to submit comments to the Concept Release, however, the potential impact, if any, on our financial results of any SEC rulemaking that may result from the Concept Release is uncertain at this time.

Trends in Our Business

Over the past several years, we have made significant progress in our goal of gaining regulatory recognition for our OTCQX and OTCQB markets. Building on existing SEC recognition of our premium markets as "established public markets" for purposes of establishing a price when registering securities for resale, and as discussed further above under *Recent Regulatory Developments Impacting Our Business*, we are continuing to work with NASAA and individual state regulators to achieve Blue Sky exemptions for secondary trading activities on our OTCQX and OTCQB markets.

We intend to continue our efforts to gain regulatory recognition for our data-driven market standards in respect of state Blue Sky laws as well as certain federal regulations concerning margin eligibility and employee stock ownership plans for OTC securities. Recognition of our market standards by federal, state and international regulators provides investors with a benchmark against which to measure the quality of information available to them, while providing corporate issuers with a more efficient public market for their shares.

We have continued to focus on providing enhanced disclosure and investor engagement tools to corporate issuers on our OTCQX and OTCQB markets to improve market efficiency and lower the burden of being public. These initiatives include our acquisition of assets related to the Virtual Investor Conferences business (See "*Recent Business Developments*" above), and the expansion of our Research Marketplace, now the Premium Provider Directory, a platform for companies to access the services of equity research firms and other firms who offer services to the issuer community. We have also expanded the reach of our marketing via joint efforts with the Canadian Securities Exchange and IR Magazine and plan to devote further resources to similar initiatives during 2019. We hope to attract additional issuers and deliver better service to our existing corporate clients. It is not yet possible to predict the impact these initiatives will have on Corporate Services revenues.

As of June 30, 2019, 421 companies were traded on the OTCQX Best Market, compared to 365 companies as of June 30, 2018. For the year ended December 31, 2018, we saw significantly stronger sales and a drop in the number of downgrades. For the 2019 annual subscription period, we achieved a 94% retention rate, representing a 3 percentage point increase versus our retention rate for the 2018 annual subscription period. This, coupled with stronger sales in the six months ended June 30, 2019, has contributed to the higher ending company count.

International companies, primarily Canadian issuers, have been a significant driver of the growth in companies on our OTCQX market. During the second quarter, we added 19 international issuers to the OTCQX market. We are continuing to devote resources to our international sales efforts, including the opening in January 2019 of a sales office in London. Companies engaged in cannabis-related sectors, both international and domestic, have also been a growth driver. As of August 1, 2019, there were 63 such companies on the OTCQX market.

As of June 30, 2019, there were 916 companies on the OTCQB Venture Market, representing a slight contraction versus the 922 companies as of June 30, 2018. During the second quarter, we added 38 companies to the market, down from the 53 joins in the prior year quarter. During the same period, we also saw a reduction in the number of Form 211s filed with FINRA, from 104 filings in the quarter ended June 30, 2018 to 86 filings in the quarter ended June 30, 2019. Our voluntary non-renewal rate, compliance downgrades, and other service cancellations were largely in line with the prior year quarter. These trends combined to drive a modest contraction in the number of companies on the market as of period end.

For the quarter ended June 30, 2019, the total dollar volume traded in OTCQX, OTCQB and Pink companies was $85.1 billion, a decrease of 3%, over the prior year quarter. Volumes on the OTCQX and OTCQB markets increased by 30%, and 34%, respectively, while volume traded on our Pink market decreased by 11%.

With 45 subscribers connected as of June 30, 2019, significant revenues from our OTC Link ECN (see discussion of our "*Financial Results*" below) drove a 4% period over period increase in revenues from our OTC Link business. Our OTC Link ATS had 90 broker-dealer subscribers quoting approximately 10,700 securities as of June 30, 2019, as compared to 95 subscribers quoting approximately 10,500 securities as of June 30, 2018.

We launched OTC Link ECN in December 2017 to provide additional and enhanced functionality to existing subscribers of OTC Link ATS, while also attracting new subscribers. For the second quarter, OTC Link ECN generated gross revenues of $330 thousand. We expect to continue to attract new subscribers to the platform and to grow market share. However, the total addressable market is relatively limited, and we expect that in order to capture additional market share we may choose to compete more aggressively on pricing.

In our Market Data Licensing business, we saw a 4% increase in professional users, from 20,951 professional users as of June 30, 2018, to 21,766 professional users as of June 30, 2019. During the same period, the number of professional subscribers to the U.S. Equities Securities Information Processor ("UTP SIP"), which includes information on securities listed on Nasdaq, contracted by 1% to 285,269 users. We continue to have a relatively modest share of UTP SIP users at 7.6% of the UTP SIP total as of June 30, 2019, up from 7.3% as of the prior year quarter end. This likely reflects the smaller number of financial services firms that participate in the OTC markets versus the listed equities markets.

The number of non-professional users of our market data decreased by 9% from 15,389 as of June 30, 2018 to 13,991 non-professional users as of June 30, 2019. In the normal course of business operations we see fluctuations in the number of non-professional users. These fluctuations can be significant as retail investor interest peaks and declines in response to certain "hot" sectors and other factors. Over the longer term, we have seen significant growth in the number of non-professional users, up approximately 30% from June 30, 2016. This is in line with an increase in retail investor participation in the U.S. equities market, as well as the continued expansion of our market data distribution network.

We continue to focus resources on developing and enhancing our suite of compliance analytics and compliance data products, including our stock promotion and shell risk flags, Promotion Data File, enhanced Compliance Analytics File and Small Cap Listed Compliance Product, all launched in 2018. In April 2019, we launched Canari, a web-based tool designed to provide users with a comprehensive view of quantitative compliance data for OTCQX, OTCQB, Pink and Grey Market securities (see "*Recent Business Developments"* above). As of August 1, 2019, a total of 33 firms subscribe to our Compliance Data or Compliance Analytics products, representing many of the largest banks, custodians and clearing firms in the U.S. equities space. We expect the subscriber base to continue to grow and are devoting resources to achieving this objective. During the first quarter of 2019, we completed the acquisition of Qaravan Inc., and in the second quarter, as noted above under *Recent Business Developments*, we launched the Qaravan CECL tool. Through these products we hope to provide additional services to the private and public banking community, a key growth sector for our markets. It is not yet possible to predict the impact this acquisition will have on Market Data revenues.

We evaluate both the current and future period impact of increasing costs related to our personnel, IT infrastructure and expense base more generally. Consistent with other companies in the financial technology sector, compensation and information technology costs make up a very significant proportion of our overall expenses. We recognize the importance of attracting and retaining the talent required to develop our service offerings and manage our infrastructure. We face a competitive hiring environment and have continued to evaluate and, where necessary, adjust our overall compensation packages accordingly. We have added headcount where we believe those additional resources can drive future earnings growth or are necessary to provide reliable services to our clients or to comply with our regulatory obligations. Our headcount increased from 91 as of June 30, 2018 to 99 as of June 30, 2019.

We have continued to make investments in the personnel that support our technology infrastructure. We believe such investments are necessary if we are to remain compliant with our regulatory obligations, including our obligations under Regulation Systems Compliance and Integrity (“SCI”). We expect that future investments with respect to our Regulation SCI compliance will be material to our financial results.

How OTC Markets Group Generates Revenues

Each of our three business lines offers a distinct fee structure designed to serve its constituents. OTC Link LLC operates OTC Link ATS, with a subscription model and usage-based fees, and OTC Link ECN, with transaction-based fees. Corporate Services charges application and annual fees, and Market Data Licensing charges distribution and licensing fees. A significant proportion of our revenues are derived pursuant to subscription arrangements; consequently, a significant majority of our revenues are recurring in nature. For the first six months of 2019 and 2018, respectively, approximately 87% of our revenues were derived pursuant to subscription arrangements.

Each of our business lines is described in detail below.

OTC Link

Our trading services business is operated by our wholly-owned subsidiary, OTC Link LLC. OTC Link LLC operates OTC Link ATS and OTC Link ECN.

Broker-dealers pay monthly subscription and connectivity fees to use OTC Link ATS. Our OTC Dealer application provides broker-dealers a user interface into OTC Link ATS. Fees for use of the OTC Dealer application are based on the number of authorized users per subscriber and are discounted in graduated amounts in relation to total users per subscriber.

OTC Link ATS’s FINRA member broker-dealer subscribers pay per security usage fees to (i) publish quotes and (ii) communicate and negotiate with counterparties on OTC Link ATS. Monthly OTC Link ATS position fees are based on the number of daily quote positions in Pink securities, with tiered pricing arrangements based on volume. Monthly OTC Link ATS message fees are based on the daily number of securities on OTC Link ATS for which trade messages are sent or received, with tiered pricing arrangements based on volume. The daily quoting and messaging fees allow subscribers to make unlimited quote updates in a single security and to send and receive an unlimited number of trade messages in a security on a given day.

OTC Link ECN generates transactional revenues based on share volume executed on the ECN matching platform. Broker-dealer subscribers pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity.

Market Data Licensing

We generate Market Data Licensing revenues by providing our subscribers with access to the extensive market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines.

Investors, traders, institutions, accountants, and regulators pay us monthly license fees to access this information. We offer a suite of market data licenses, priced at per enterprise or per subscriber rates, through direct connectivity, extranet connectivity, third-party market data redistributors and OMS providers. Depending on the license type, subscribers may distribute the market data on an internal-only basis, to clients, or to the public. We generate a majority of our market data revenues from sales through market data redistributors. The market data redistributors that offer our market data to their subscribers have historically remained long-term clients.

Certain of our market data license agreements include redistribution fees and rebates, which represented 10% for the second quarter and first six months of 2019 and 2018.

Pricing information for each of our market data licenses is publicly available on our website.

We also charge for the right to display advertisements on www.otcmarkets.com. Website advertising revenue is included in our Market Data Licensing business line.

Corporate Services

We operate the OTCQX Best Market, the OTCQB Venture Market, and offer a suite of services to companies trading on all of our markets. These services include the OTC Disclosure & News Service for posting financial reports, disclosure documents and news releases; the Virtual Investor Conferences service; Real-Time Level 2 Quote Display, a service that companies sponsor to provide their investors with access to free real-time level 2 quotes on www.otcmarkets.com and the company's website; and the Blue Sky Monitoring Service for analysis, review, and guidance about a company's compliance with each U.S. state's securities laws.

Companies that choose to have their securities designated as OTCQX securities do so annually, on a calendar year basis, while companies on the OTCQB market renew their services annually or semi-annually based on the anniversary of the date on which they joined the market. All companies traded on the OTCQX or OTCQB markets pay a one-time application fee and annual or semi-annual fees. These fees are fixed and do not vary based on outstanding shares, market capitalization, market segment or otherwise. Companies on both markets also receive the OTC Disclosure & News Service, Real-Time Level 2 Quote Display and the Blue Sky Monitoring Service. Pink companies may subscribe separately to the OTC Disclosure & News Service, Real-Time Level 2 Quote Display, and the Blue Sky Monitoring Service. Companies can choose to subscribe to these services and pay fees on an annual or semi-annual basis.

Each of these services may be accessed through our www.otciq.com secure web portal.

Key Metrics

The table below presents key metrics for our OTC Link, Corporate Services and Market Data Licensing business lines for the three and six months ended June 30, 2019 and 2018.

	Three Months Ended June 30,		Six Months Ended June 30,	
	2019	2018	2019	2018
OTC Link				
Number of securities quoted [(1)]	10,645	10,476	10,645	10,476
Number of active ATS subscribers [(1)]	90	95	90	95
Number of active ECN subscribers [(1)]	45	35	45	35
New Form 211 filings	86	104	183	198
Dollar volume traded (in thousands):				
OTCQX	$ 16,441,668	$ 12,686,587	$ 28,857,673	$ 32,818,791
OTCQB	6,486,726	4,855,868	14,024,530	13,526,781
Pink	62,204,877	70,255,899	126,548,505	141,706,621
Total	$ 85,133,271	$ 87,798,355	$ 169,430,708	$ 188,052,193
Dollar volume per security (in thousands):				
OTCQX	$ 34,982	$ 30,351	$ 61,399	$ 78,514
OTCQB	6,660	4,930	14,399	13,733
Pink	6,761	7,743	13,754	15,618
Corporate Services				
Graduates to a national securities exchange	13	20	25	36
Number of securities: [(1)]				
OTCQX	470	418	470	418
OTCQB	974	985	974	985
Pink	9,201	9,073	9,201	9,073
Total	10,645	10,476	10,645	10,476
Number of corporate clients: [(1)]				
OTCQX	421	365	421	365
OTCQB	916	922	916	922
Pink	747	761	747	761
Total	2,084	2,048	2,084	2,048
Market Data Licensing				
Market data professional users[(1)]	21,766	20,951	21,766	20,951
Market data non-professional users[(1)]	13,991	15,389	13,991	15,389
Market data compliance file users[(1)]	31	22	31	22

(1) Figures presented are at period end.

Financial Results

Consolidated Results from Operations

The table below presents comparative information from the Company's Consolidated Income Statements for the three and six months ended June 30, 2019 and 2018.

	Three Months Ended June 30,			Six Months Ended June 30,		
(in thousands, except shares and per share data)	2019	2018	% change	2019	2018	% change
Gross revenues	$ 15,670	$ 14,766	6%	$ 31,026	$ 29,108	7%
Net revenues	15,033	14,142	6%	29,763	27,863	7%
Revenues less transaction-based expenses	14,861	14,056	6%	29,451	27,769	6%
Operating expenses	10,434	9,060	15%	21,001	18,223	15%
Income from operations	4,427	4,996	(11%)	8,450	9,546	(11%)
Operating profit margin	*29.4%*	*35.3%*		*28.4%*	*34.3%*	
Income before provision for income taxes	4,450	5,007	(11%)	8,510	9,574	(11%)
Net income	$ 3,567	$ 3,987	(11%)	$ 7,114	$ 7,734	(8%)
Diluted earnings per share	$ 0.30	$ 0.34	(12%)	$ 0.59	$ 0.65	(9%)
Weighted-average shares outstanding, diluted	11,678,560	11,600,830	1%	11,688,693	11,600,372	1%

Revenues and Transaction-Based Expenses

The following table shows OTC Markets Group's gross revenues by business line and consolidated revenues less transaction-based expenses for the three and six months ended June 30, 2019 and 2018.

	Three Months Ended June 30,			Six Months Ended June 30,		
(in thousands)	2019	2018	% change	2019	2018	% change
OTC Link	$ 2,898	$ 2,799	4%	$ 5,741	$ 5,450	5%
Market data licensing	6,077	5,830	4%	12,149	11,672	4%
Corporate services	6,695	6,137	9%	13,136	11,986	10%
Gross revenues	15,670	14,766	6%	31,026	29,108	7%
Redistribution fees and rebates	(637)	(624)	2%	(1,263)	(1,245)	1%
Net revenues	15,033	14,142	6%	29,763	27,863	7%
Transaction-based expenses	(172)	(86)	100%	(312)	(94)	232%
Revenues less transaction-based expenses	$ 14,861	$ 14,056	6%	$ 29,451	$ 27,769	6%

Gross Revenue increased by $904 thousand, or 6%, and $1.9 million, or 7%, in the second quarter and first six months of 2019, respectively, compared to the same periods in 2018.

- OTC Link revenues increased $99 thousand, or 4%, and $291 thousand, or 5%, in the second quarter and first six months of 2019, respectively. The increase for both the second quarter and first six months of 2019 was primarily driven by $103 thousand and $394 thousand of revenue growth from OTC Link ECN, respectively, and an increase in OTC Link ATS revenues from quotes of $51 thousand and $64 thousand, respectively. The increase in the second quarter and first six months of 2019 was partially offset by a decrease in revenues from messages of $27 thousand and $105 thousand, respectively, consistent with a decline in message volumes on OTC Link ATS during the second quarter and first six months of 2019 when compared to a more active market in the same prior year period, as well as a contraction in the active number of broker dealers on the OTC Link ATS platform.

- Market Data Licensing revenues increased $247 thousand and $477 thousand in the second quarter and first six months of 2019, respectively, or 4%, in each period. The increase during these periods was primarily driven by an increase of $93 thousand and $296 thousand in revenues from professional user licenses in the second quarter and first six months of 2019, respectively, a result of growth in reported users. The increase was further impacted by a $141 thousand and $271 thousand increase in revenues from internal, delayed and other data services in the second quarter and first six months of 2019, respectively, driven primarily by strong sales of our compliance data products. The increase in Market Data Licensing revenues was partially offset by a decrease in revenues from non-professional user licenses and end-of-day pricing services, consistent with lower reported usage of these products.
- Corporate Services revenues increased $558 thousand, or 9%, and $1.2 million, or 10%, in the second quarter and first six months of 2019, respectively. The increase was driven by an increase of $258 thousand and $596 thousand in OTCQB revenues for the second quarter and first six months of 2019, respectively. This was primarily a result of price increases introduced for renewing subscribers effective on January 1, 2018. The increase in Corporate Services revenue was further impacted by a $217 thousand, or 11%, and $545 thousand, or 14%, increase in OTCQX revenues for the second quarter and first six months of 2019, respectively. Strong sales for the second quarter and first six months of 2019, as well as an increase in our 2019 renewal rate, all contributed to the increase in revenues from our OTCQX market. The introduction of the Virtual Investor Conferences business contributed $112 thousand and $163 thousand in revenue for the second quarter and first six months of 2019, respectively. The increase in Corporate Services revenues was partially offset by $9 thousand and $105 thousand decrease in our OTC Disclosure & News Service revenue during the second quarter and first six months of 2019, respectively, due to a decrease in the number of active clients.
- Transaction-based expenses are comprised of rebates paid to subscribers providing liquidity on our OTC Link ECN and increased $86 thousand, or 100%, and $218 thousand, or 232%, in the second quarter and first six months of 2019, respectively. The increase was in line with an increase in volumes traded on our OTC Link ECN.

Operating Expenses

The following table shows OTC Markets Group's consolidated operating expenses for the three and six months ended June 30, 2019 and 2018.

	Three Months Ended June 30,			Six Months Ended June 30,		
(in thousands)	2019	2018	% change	2019	2018	% change
Compensation and benefits	$ 6,754	$ 5,879	15%	$ 13,751	$ 12,073	14%
IT Infrastructure and information services	1,614	1,353	19%	3,141	2,700	16%
Professional and consulting fees	546	595	(8%)	935	1,001	(7%)
Marketing and advertising	242	269	(10%)	493	582	(15%)
Occupancy costs	605	452	34%	1,450	921	57%
Depreciation and amortization	380	271	40%	660	524	26%
General, administrative and other	293	241	22%	571	422	35%
Total operating expenses	$ 10,434	$ 9,060	15%	$ 21,001	$ 18,223	15%

Operating expenses increased $1.4 million and $2.8 million, in the second quarter and first six months of 2019, respectively, or 15% in each period, compared to the same periods in 2018.

- Compensation and benefits expenses increased $875 thousand, or 15%, and $1.7 million, or 14%, in the second quarter and first six months of 2019, respectively. The increase was primarily related to annual salary raises and an increase in headcount from 91 as of June 30, 2018 to 99 as of June 30, 2019. The increase was further impacted by the cumulative impact of prior year stock compensation. As a percentage of gross revenues, compensation and benefits costs represented 43% and 40% for the second quarter of 2019 and 2018, respectively, and 44% and 41% for the six months ended June 30, 2019 and 2018, respectively.
- IT infrastructure and information services expenses increased $261 thousand, or 19%, and $441 thousand, or 16%, in the second quarter and first six months of 2019, respectively. The increase during these periods was primarily related to an increase in data center costs related to our replacement of certain hardware and other infrastructure at our primary and back up data centers. Also contributing to the increase during these periods was technology support costs incurred related to the Virtual Investor Conferences business, incremental data licence costs incurred in connection with certain product development initiatives and higher spend required to enhance system security in the context of our compliance with Regulation SCI (see further above under *Trends in our Business*).
- Professional and consulting fees decreased $49 thousand, or 8%, and $66 thousand, or 7%, in the second quarter and first six months of 2019, respectively. The decrease was primarily related to costs incurred in connection with the re-platforming of our company website and advisory fees incurred related to certain corporate development initiatives, both of which were unique to 2018.
- Marketing and advertising expenses decreased $27 thousand, or 10%, and $89 thousand, or 15%, in the second quarter and first six months of 2019, respectively. The decrease during these periods was primarily due to a decrease in third-party spend related to public relations and savings realized on spend with PR Newswire related to the hosting of Virtual Investor Conferences for OTCQX and OTCQB companies.
- Occupancy fees increased $153 thousand, or 34%, and $529, or 57%, in the second quarter and first six months of 2019, respectively. The increase in the second quarter was primarily due to the impact of our move to the new office space, with the resultant

increase in base rent a factor of both an increase in our real estate footprint and an increase in the amount of rent paid per rentable square foot. The increase in the first six months of 2019 was additionally impacted by continuing rent obligations at our legacy space amounting to $260 thousand.

- Depreciation and amortization increased $109 thousand, or 40%, and $136 thousand, or 26%, in the second quarter and first six months of 2019, respectively. The increase during these periods was primarily due to depreciation related to spend on the re-platform of our corporate website and in respect of our acquisition in February 2019 of Qaravan Inc., as well as depreciation expense in respect of spend on leasehold and other improvements related to our move to the new office space.
- General, administrative and other fees increased $52 thousand, or 22%, and $149 thousand, or 35%, in the second quarter and first six months of 2019, respectively. The increase was primarily driven by project management and other expenses related to our office move.

Income from Operations and Operating Profit Margin

	Three Months Ended June 30,			Six Months Ended June 30,		
(in thousands)	2019	2018	% change	2019	2018	% change
Income from operations	$ 4,427	$ 4,996	(11%)	$ 8,450	$ 9,546	(11%)
Operating profit margin	29.4%	35.3%	(17%)	28.4%	34.3%	(17%)

Income from operations decreased $569 thousand and $1.1 million in the second quarter and first six months of 2019, respectively, or 11% in each period, compared to the same periods in 2018. The Company's operating profit margin contracted during the three and six months ended June 30, 2019 primarily as a result of the increase in operating expenses and the impact of $46 thousand and $523 thousand of non-recurring costs incurred in the second quarter and first six months, respectively, in connection with our move to new office space, with these increases in our expenses only partially offset by an increase in revenues.

Net Income

	Three Months Ended June 30,			Six Months Ended June 30,		
(in thousands, except shares and per share data)	2019	2018	% change	2019	2018	% change
Income before provision for income taxes	$ 4,450	$ 5,007	(11%)	$ 8,510	$ 9,574	(11%)
Provision for income taxes	883	1,020	(13%)	1,396	1,840	(24%)
Effective income tax rate	19.8%	20.4%	(3%)	16.4%	19.2%	(15%)
Net income	$ 3,567	$ 3,987	(11%)	$ 7,114	$ 7,734	(8%)

Net income decreased $420 thousand, or 11%, and $620 thousand, or 8%, in the second quarter and first six months of 2019, respectively, compared to the same periods in 2018. The decrease during these periods was due to the decrease in income from operations, partially offset by a decrease in the Company's effective tax rate. The decrease in the Company's effective tax rate is a result of an increase in the amount of U.S. federal research and development credit claimed and the impact of the Foreign-Derived Intangible Income deduction, a deduction available to the Company pursuant to the Tax Cuts and Job Act of 2017 which was recognized in the fourth quarter of 2018 in respect of the 2018 tax year.

Liquidity and Capital Resources

Our liquidity is primarily derived from our working capital and cash flows from operations. We require cash to support our current operating levels, fund strategic growth initiatives, develop new services and enhance existing services, make capital expenditures, fund dividends, and pay federal, state and local corporate taxes. We expect that our operations will provide sufficient cash to fund our strategic initiatives. We have no outstanding debt and $1.5 million available for business operations under our line of credit, which gives us additional flexibility in managing our cash flows.

Cash available for operations

The following table presents cash available for operations, which consists of cash as of June 30, 2019 and December 31, 2018.

(in thousands)	June 30, 2019	December 31, 2018	% change
Cash available for operations	$ 24,127	$ 28,813	(16%)

Cash available for operations decreased $4.7 million to $24.1 million as of June 30, 2019, from $28.8 million as of December 31, 2018. The Company generated $5.1 million of cash from operations during the first six months of 2019. The Company utilized operating cashflows and cash on hand to fund $4.0 million investment in leasehold improvements and IT infrastructure enhancements, to fund our acquisition of Qaravan Inc., and to pay $3.5 million in quarterly dividends and $1.4 million in respect of repurchases of our common stock.

Cash Flow

The following table presents sources and uses of cash flows during the six months ended June 30, 2019 and 2018.

	Six Months Ended June 30,		
	2019	2018	% change
Net cash provided by operating activities	$ 5,129	$ 6,240	(18%)
Net cash used in investing activities	(4,647)	(174)	2571%
Net cash used in financing activities	(5,329)	(4,773)	12%
Net Increase (decrease) in cash and restricted cash	$ (4,847)	$ 1,293	(475%)

Cash provided by operating activities

Cash provided by operating activities for the six months ended June 30, 2019 was $5.1 million, as compared to $6.2 million during the same prior year period. Cash provided by operating activities for the first six months consisted of net income of $7.1 million, adjusted for non-cash items of $1.7 million and changes in assets and liabilities of $3.7 million. Adjustments for non-cash items to net income primarily consisted of depreciation and amortization expense of $660 thousand and stock-based compensation expense of $1.4 million, partially offset by excess tax benefits related to stock-based compensation expense of $524 thousand. Cash used in respect of changes in assets and liabilities primarily consisted of a decrease in accrued expenses and other current liabilities of $1.8 million and a decrease in deferred revenue of $3.0 million.

Cash used in investing activities

Cash used in investing activities during the six months ended June 30, 2019 was $4.6 million, as compared to $174 thousand during the same prior year period. The cash used in investing activities for the first six months primarily consisted of $2.9 million in spend related to leasehold improvements and IT infrastructure for our new corporate headquarters, $664 thousand related to the acquisition of Qaravan Inc., as well as $1 million in capital spend related to infrastructure upgrade at our data centers.

Cash used in financing activities

Cash used in financing activities during the six months ended June 30, 2019 was $5.3 million, as compared to $4.8 million during the same prior year period. The cash used in both periods was primarily related to dividends paid to holders of our Class A common stock. The increase in the use of cash in the current period was primarily related to an increase in the amount of treasury stock purchased.

Capital resources and working capital

OTC Markets Group's working capital at June 30, 2019 was $12.1 million, a decrease of $1.9 million, or 13%, from $14.0 million at December 31, 2018. Working capital includes certain non-operating assets and liabilities, such as prepaid income taxes, deferred tax assets and liabilities, and income taxes payable. The decrease in working capital during the six months ended June 30, 2019 was primarily attributable to a decrease in cash available for operations, which resulted from cash being used to fund capital expenditures and our acquisition of Qaravan Inc., which was partially offset by cash generated by operating activities.

Line of Credit

On July 7, 2012, the Company obtained a line of credit with JPMorgan Chase (the "Line of Credit") that made up to $1.5 million available for business operations. The effective interest rate of the Line of Credit is benchmarked to the London Inter Bank Offered Rate ("LIBOR"). The Line of Credit has been extended through June 26, 2020. We have not drawn funds on the Line of Credit. Under the terms of the Line of Credit, we agreed to fulfill certain affirmative and negative covenants and other specified terms. At June 30, 2019, the Company was in compliance with all of the covenants and other terms of the Line of Credit.

Operating Leases

We have entered into operating lease agreements for our offices and recognize rent expense on a straight-line basis over the terms of the leases.

Off-Balance Sheet Arrangements

None.

Item 5. Legal proceedings

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on our business, financial condition or operations. Our securities are not a party to any past or pending trading suspensions by a securities regulator.

Item 6. Defaults upon senior securities

None.

Item 7. Other information

None.

Item 8. Exhibits

Exhibit 3.1	Unaudited interim condensed consolidated financial statements
Exhibit 9.1	Certification of principal executive officer
Exhibit 9.2	Certification of principal financial officer

Item 9. Certifications

Current certifications are filed as Exhibits 9.1 and 9.2 to this Quarterly Report.

Exhibit 3.1

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED BALANCE SHEETS
(in thousands, except share information)
(Unaudited)

	June 30, 2019	December 31, 2018
Assets		
Current assets		
Cash	$ 24,127	$ 28,813
Short-term restricted cash	-	160
Accounts receivable, net of allowance for doubtful accounts of $176 and $169	5,111	4,942
Prepaid income taxes	931	478
Prepaid expenses and other current assets	1,535	2,360
Total current assets	31,704	36,753
Property and equipment, net	6,134	1,980
Operating lease right-of-use assets	16,585	-
Deferred tax assets, net	964	1,043
Goodwill	251	251
Intangible assets, net	40	61
Long-term restricted cash	1,560	1,561
Total Assets	$ 57,238	$ 41,649
Liabilities and stockholders' equity		
Current liabilities		
Accounts payable	$ 707	$ 693
Accrued expenses and other current liabilities	5,778	6,018
Income taxes payable	1	-
Deferred revenue	13,102	16,070
Total current liabilities	19,588	22,781
Deferred rent	-	1,001
Income tax reserve	1,641	1,458
Operating lease liabilities	16,097	-
Total Liabilities	37,326	25,240
Commitments and contingencies		
Stockholders' equity		
Common stock - par value $0.01 per share		
Class A - 14,000,000 authorized, 12,169,142 issued, 11,635,446 outstanding at June 30, 2019; 12,035,941 issued, 11,548,956 outstanding at December 31, 2018	122	120
Additional paid-in capital	17,038	15,772
Retained earnings	11,349	7,724
Treasury stock - 533,696 shares at June 30, 2019 and 486,985 shares at December 31, 2018	(8,597)	(7,207)
Total Stockholders' Equity	19,912	16,409
Total Liabilities and Stockholders' Equity	$ 57,238	$ 41,649

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF INCOME
(in thousands, except per share information)
(Unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2019	2018	2019	2018
Gross revenues	$ 15,670	$ 14,766	$ 31,026	$ 29,108
Redistribution fees and rebates	(637)	(624)	(1,263)	(1,245)
Net revenues	15,033	14,142	29,763	27,863
Transaction-based expenses	(172)	(86)	(312)	(94)
Revenues less transaction-based expenses	14,861	14,056	29,451	27,769
Operating expenses				
Compensation and benefits	6,754	5,879	13,751	12,073
IT Infrastructure and information services	1,614	1,353	3,141	2,700
Professional and consulting fees	546	595	935	1,001
Marketing and advertising	242	269	493	582
Occupancy costs	605	452	1,450	921
Depreciation and amortization	380	271	660	524
General, administrative and other	293	241	571	422
Total operating expenses	10,434	9,060	21,001	18,223
Income from operations	4,427	4,996	8,450	9,546
Other income				
Interest income	19	10	59	17
Other income, net	4	1	1	11
Income before provision for income taxes	4,450	5,007	8,510	9,574
Provision for income taxes	883	1,020	1,396	1,840
Net income	$ 3,567	$ 3,987	$ 7,114	$ 7,734
Net income per share				
Basic	0.31	$ 0.35	$ 0.61	$ 0.67
Diluted	0.30	$ 0.34	$ 0.59	$ 0.65

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)
(Unaudited)

	Six Months Ended June 30, 2019	Six Months Ended June 30, 2018
Beginning balance	$ 16,409	$ 13,791
Increase from net income	7,114	7,734
Dividends paid	(3,489)	(3,226)
Stock-based compensation	1,446	1,205
Issuance of restricted and common shares, net	(450)	(500)
Issuance of common stock for the acquisition of Qaravan	272	-
Purchases of treasury stock	(1,390)	(1,047)
Ending balance	$ 19,912	$ 17,957

See accompanying notes to unaudited condensed consolidated financial statements

OTC MARKETS GROUP INC.

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands)

(Unaudited)

	Six Months Ended June 30, 2019	Six Months Ended June 30, 2018
Cash flows from operating activities		
Net income	$ 7,114	$ 7,734
Adjustments to reconcile net income to net cash provided by operating activities		
Depreciation and amortization	660	524
Provision for bad debts	32	47
Stock-based compensation	1,446	1,205
Excess tax benefits related to stock-based compensation	(524)	(539)
Deferred income taxes	79	9
Loss on disposal of fixed assets	14	-
Changes in assets and liabilities:		
Accounts receivable	(201)	339
Prepaid expenses and other current assets	825	(389)
Prepaid income taxes	(453)	745
Accounts payable	(245)	(175)
Accrued expenses and other current liabilities	(1,805)	(1,550)
Income tax payable	525	555
Income tax reserve	183	129
Deferred revenue	(2,968)	(2,371)
Other liabilities	447	(23)
Net cash provided by operating activities	5,129	6,240
Cash flows from investing activities		
Purchases of property and equipment	(3,983)	(174)
Acquisition of Qaravan assets	(664)	-
Net cash used in investing activities	(4,647)	(174)
Cash flows from financing activities		
Dividends paid	(3,489)	(3,226)
Issuance of restricted and common shares, net	(450)	(500)
Purchases of treasury stock	(1,390)	(1,047)
Net cash used in financing activities	(5,329)	(4,773)
Net decrease in cash and restricted cash	(4,847)	1,293
Cash and restricted cash at beginning of period	30,534	24,375
Cash and restricted cash at end of period	$ 25,687	$ 25,668
Reconciliation of cash and restricted cash:		
Cash	$ 24,127	$ 24,976
Short-term restricted cash	-	80
Long-term restricted cash	1,560	612
Total Cash and restricted cash	$ 25,687	$ 25,668

Note 1. Description of Business

Overview

OTC Markets Group Inc. ("OTC Markets Group" or the "Company") (OTCQX: OTCM) operates the OTCQX® Best Market, the OTCQB® Venture Market, and the Pink® Open Market for 10,000 U.S. and global securities. Through OTC Link® ATS and OTC Link ECN, each a Securities and Exchange Commission ("SEC") registered Alternative Trading System ("ATS") operated by the Company's wholly-owned subsidiary OTC Link LLC, a Financial Industry Regulatory Authority, Inc. ("FINRA") and SEC registered broker-dealer, the Company enables investors to easily trade through the broker of their choice and empowers companies to improve the quality and availability of information for their investors.

The Company has three business lines: OTC Link, Market Data Licensing and Corporate Services.

- OTC Link– OTC Link LLC operates two ATSs, OTC Link ATS and OTC Link ECN, which provide trading services to FINRA member broker-dealer subscribers.
- Market Data Licensing – OTC Markets Group is a central source of real-time data, delayed and historical market data, company financial data, security master data, corporate reference data and compliance data for securities traded on the OTCQX, OTCQB and Pink markets. The Market Data Licensing business line provides investors, traders, institutions, and regulators with a suite of enterprise and user market data licenses, offered via direct or extranet connectivity, through third party market data redistributors or order management systems (OMSs).
- Corporate Services – OTC Markets Group operates the OTCQX Best Market and the OTCQB Venture Market and offers companies a suite of services that are designed to create a better informational experience for investors by facilitating public disclosure and communication with investors, promoting greater transparency and allowing companies to demonstrate regulatory compliance and mitigate market risk. These services include the OTC Disclosure & News Service, Real-Time Level 2 Quote Display and Blue Sky Monitoring Service.

Corporate Form

OTC Markets Group Inc. is a Delaware corporation. The Company is a "C" corporation for federal, state, and local income tax purposes.

Note 2. Summary of Significant Accounting Policies

Basis of Presentation

The accompanying unaudited interim condensed consolidated financial statements are prepared in accordance with generally accepted accounting principles in the United States ("U.S. GAAP"), include the accounts of the Company and its wholly-owned subsidiary, OTC Link LLC, and reflect all adjustments, consisting of normal recurring adjustments, that are, in the opinion of management, necessary for a fair statement of the results for the period. All intercompany transactions have been eliminated in consolidation. Management assessed the segment reporting standard, analyzed how the chief operating decision maker (the Chief Executive Officer) manages the businesses and the availability of discrete financial information, and concluded that the Company's three business lines aggregate to one reportable segment. Refer to Note 2, *Summary of Significant Accounting Policies,* from the Company's Annual

Report for the year ended December 31, 2018 for a full discussion of significant accounting policies.

The interim condensed consolidated financial statements are unaudited and should be read in conjunction with the audited financial statements of the Company as of and for the year ended December 31, 2018. Operating results for the three and six months ended June 30, 2019 are not necessarily indicative of the results that may be expected for the year ending December 31, 2019.

Use of Estimates

The preparation of these unaudited interim condensed consolidated financial statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities as of the date of the consolidated financial statements, and the reported amounts of revenue and expenses during the reporting periods. Estimates included in the consolidated financial statements include allowance for doubtful accounts, certain accrued expenses, stock-based compensation expense, the incremental borrowing rate used to calculate the present value of the operating lease liabilities, income tax reserve and provision for income taxes. Actual results could differ from those estimates.

Recently Issued Accounting Standards

In February 2016, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2016-02, *Leases (Topic 842)*, which supersedes the existing guidance in respect of lease accounting (Topic 840). ASU 2016-02 requires lessees to recognize lease liabilities arising from operating leases and corresponding right-of-use assets and modifies accounting and disclosure requirements for both lessors and lessees. ASU 2016-02 requires a modified retrospective approach for all leases existing at, or entered into, after the date of initial application, with an option to elect to adopt certain practical expedients during the transition. ASU 2016-02 is effective for interim and annual periods beginning after December 15, 2018, with early adoption permitted. On January 1, 2019, the Company adopted the standard using the modified retrospective method and elected the package of practical expedients permitted under transition guidance that allows the Company to not reassess its existing lease classification, initial direct cost, and whether or not an existing contract contains a lease. Based on lease contracts in existence as of December 31, 2018, upon adoption of ASU 2016-02, the Company recognized approximately $17.1 million in right-to-use assets and corresponding lease liabilities of approximately $17.9 million on our Consolidated Balance Sheets as of January 1, 2019. The adoption had no material impact on our Consolidated Statements of Income or Consolidated Statements of Cash Flows. (See Note 7, "*Leases*" for further discussion.)

In June 2016, the FASB issued ASU 2016-13, *Measurement of Credit Losses on Financial Instruments*, which amends previously issued guidance regarding the impairment of financial instruments by creating an impairment model that is based on expected losses rather than incurred losses. ASU 2016-13 is effective for annual periods beginning after December 15, 2019. The Company is in the process of evaluating the impact of the adoption of this ASU on the consolidated financial statements.

In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement (Topic 820): Disclosure Framework—Changes to the Disclosure Requirements for Fair Value Measurement*, which amends Topic 820 to modify, remove, and add certain fair value measurement disclosure requirements. ASU 2018-13 is effective for interim and annual periods beginning after

December 15, 2019, with early adoption permitted. The Company is in the process of evaluating the impact of adoption of this ASU, but does not expect it to have a material impact on the consolidated financial statements.

In August 2018, the FASB issued ASU 2018-15, *Intangibles—Goodwill and Other—Internal-Use Software (Subtopic 350-40): Customer's Accounting for Implementation Costs Incurred in a Cloud Computing Arrangement That Is a Service Contract,* which clarifies the accounting for implementation costs in cloud computing arrangements. ASU 2018-15 requires a customer in a cloud computing arrangement that is a service contract to follow the internal-use software guidance under Subtopic 350-40 to determine which implementation costs to capitalize as assets. ASU 2018-15 is effective for interim and annual periods beginning after December 15, 2019, with early adoption permitted. The Company is in the process of evaluating the impact of adoption of this ASU, but does not expect it to have a material impact on the consolidated financial statements.

Note 3. Revenue Recognition

Substantially all of our revenues are derived from contracts with customers. Revenues are recognized when control of the promised goods or services is transferred to our customers, in an amount that reflects the consideration we expect to be entitled to in exchange for those goods or services. In accordance with Topic 606, we evaluate our contracts with customers based on a five-step methodology. We: (1) Identify the contract with the customer; (2) Identify the performance obligations under the contract; (3) Determine the transaction price; (4) Allocate the transaction price to separate performance obligations; and (5) Recognize revenue when each performance obligation is satisfied. Certain of our ancillary Market Data and Corporate Services offerings, including news release and advertising services, are usage-based and are delivered at a point in time. Accordingly, we recognize revenue upon delivery of the service in line with the contractual agreement. Neither represent a material source of revenues.

OTC Link

OTC Link LLC operates two ATSs, OTC Link ATS and OTC Link ECN. Broker-dealers pay monthly subscription fees that permit access to the trading system, including the OTC Dealer application and related support and updates, if applicable, during the contract term. Fees for such access are based on the number of authorized users per subscriber and are calculated based on a tiered pricing arrangement. These fees are invoiced monthly and in advance of the monthly service period. The Company satisfies its performance obligations over the contract term and records revenue from these fees ratably over the month, with the unrealized portion recorded as deferred revenue on the Company's Balance Sheet. The Company pays rebates to certain resellers of OTC Link ATS services. These are invoiced monthly based on the fixed rate specified in the applicable contract and recorded as a reduction of gross revenues.

In addition to the aforementioned monthly access fees, broker-dealer subscribers to OTC Link ATS pay usage-based fees to publish quotes and deliver trade messages electronically to counterparties. Those fees are recognized at the point in time when the performance obligation, the publication of the quote or delivery of the message, is satisfied. OTC Link ECN generates revenues based on share volume executed on the ECN matching platform. Broker-dealer counterparties pay a fixed fee per share executed where their orders remove posted liquidity on the ECN, while receiving a rebate on shares executed against their own posted liquidity. These fees are invoiced monthly, in arrears and are due upon receipt. The Company recognizes transactional based revenue earned upon the execution of a trade, when the Company's obligations are substantially met. Similarly, payments made to subscribers providing liquidity are recognized upon execution and are recorded as transaction-based expenses within the Consolidated Statements of Income.

(in thousands, except share and per share information)

Market Data Licensing

Market Data Licensing generates revenues by providing our subscribers with continuous access to the market data, compliance data, company data and security information collected through our OTC Link and Corporate Services business lines. Subscribers pay monthly fees to access this information priced at per enterprise or per subscriber rates. Market data revenues are recognized ratably over the term of the contract period, beginning on the date on which the data is made available to the customer, as our continuing performance obligations are met.
The majority of Market Data Licensing revenues result from sales through redistributors, some of whom earn redistribution fees based on a contractual fixed rate. These fees are invoiced monthly based on the contractual period and are recognized as a reduction of gross revenues. The vast majority of our redistribution fees and rebates are related to these arrangements with market data redistributors.

Corporate Services

Corporate Services generates revenues from the OTCQX Best Market and OTCQB Venture Market and from a suite of other services. Issuers pay annual or semi-annual subscription fees upfront to have their securities traded on the OTCQX or OTCQB markets and to subscribe to our various other services. We recognize these revenues ratably over time based on the subscription period as the performance obligations are met and the transfer of services occurs. Issuers pay one-time non-refundable application fees. These fees are not related to distinct performance obligations and are recognized ratably over the contractual service period, which is one year or shorter.

The following tables present our revenues disaggregated by timing of revenue recognition:

	Three Months Ended June 30,					
	2019			2018		
	Point in Time	Over Time	Total	Point in Time	Over Time	Total
OTC Link	$ 1,893	$ 1,005	$ 2,898	$ 1,779	$ 1,020	$ 2,799
Market data licensing	55	6,022	6,077	42	5,788	5,830
Corporate services	42	6,653	6,695	65	6,072	6,137
Gross revenues	1,990	13,680	15,670	1,886	12,880	14,766
Redistribution fees and rebates	(22)	(615)	(637)	(10)	(612)	(622)
Net revenues	1,968	13,065	15,033	1,876	12,268	14,144
Transaction-based expenses	(172)	-	(172)	(88)	-	(88)
Revenues less transaction-based expenses	$ 1,796	$ 13,065	$ 14,861	$ 1,788	$ 12,268	$ 14,056
	Six Months Ended June 30,					
OTC Link	$ 3,730	$ 2,011	$ 5,741	$ 3,412	$ 2,038	$ 5,450
Market data licensing	105	12,044	12,149	210	11,462	11,672
Corporate services	98	13,038	13,136	140	11,846	11,986
Gross revenues	3,933	27,093	31,026	3,762	25,346	29,108
Redistribution fees and rebates	(40)	(1,223)	(1,263)	(52)	(1,193)	(1,245)
Net revenues	3,893	25,870	29,763	3,710	24,153	27,863
Transaction-based expenses	(312)	-	(312)	(94)	-	(94)
Revenues less transaction-based expenses	$ 3,581	$ 25,870	$ 29,451	$ 3,616	$ 24,153	$ 27,769

(in thousands, except share and per share information)

The following tables present our revenues disaggregated by geography:

	Three Months Ended June 30,					
	2019			2018		
	U.S	International	Total	U.S	International	Total
OTC Link	$ 2,898	$ -	$ 2,898	$ 2,799	$ -	$ 2,799
Market data licensing	5,024	1,053	6,077	4,853	977	5,830
Corporate services	3,697	2,998	6,695	3,581	2,556	6,137
Gross revenues	11,619	4,051	15,670	11,233	3,533	14,766
Redistribution fees and rebates	(585)	(52)	(637)	(571)	(51)	(622)
Net revenues	11,034	3,999	15,033	10,662	3,482	14,144
Transaction-based expenses	(172)	-	(172)	(88)	-	(88)
Revenues less transaction-based expenses	$ 10,862	$ 3,999	$ 14,861	$ 10,574	$ 3,482	$ 14,056
	Six Months Ended June 30,					
OTC Link	$ 5,741	$ -	$ 5,741	$ 5,450	$ -	$ 5,450
Market data licensing	10,049	2,100	12,149	9,756	1,916	11,672
Corporate services	7,269	5,867	13,136	7,113	4,873	11,986
Gross revenues	23,059	7,967	31,026	22,319	6,789	29,108
Redistribution fees and rebates	(1,159)	(104)	(1,263)	(1,176)	(69)	(1,245)
Net revenues	21,900	7,863	29,763	21,143	6,720	27,863
Transaction-based expenses	(312)	-	(312)	(94)	-	(94)
Revenues less transaction-based expenses	$ 21,588	$ 7,863	$ 29,451	$ 21,049	$ 6,720	$ 27,769

Accounts Receivable

As of June 30, 2019 and December 31, 2018, accounts receivable net of allowance for doubtful accounts were $5.1 million and $4.9 million, respectively. The allowance for doubtful accounts reflects our best estimate of probable losses inherent in the accounts receivable balance. The Company determines the allowance based on historical experience, the age of the accounts receivable balances, specific account information and other currently available information that may affect our customers' ability to pay.

Deferred Revenue

Deferred revenue primarily represents our contractual performance obligations related to annual and semi-annual Corporate Services subscription fees, as well as monthly Market Data and OTC Link license subscription fees. The following table presents the changes in deferred revenue during the first six months ended June 30, 2019 and 2018:

	Six Months Ended June 30,	
	2019	2018
Balance at beginning of period	$ 16,070	$ 15,531
Net changes	(2,968)	(2,371)
Balance at end of period	13,102	13,160

During the first six months ended June 30, 2019 and 2018, we recognized $10.6 million and $9.9 million of revenue, respectively that was included in the deferred revenue balance at the beginning of the year.

Payment Terms

Our payment terms vary by business line and the products or services offered and range from due upon receipt to net 45 days. For certain products, we require payment before services are rendered.

(in thousands, except share and per share information)

Note 4. Concentrations and Uncertainties

During both the three and six months ended June 30, 2019 and 2018, Market Data Licensing revenues earned through one market data redistributor amounted to approximately 10% of gross revenues. As of June 30, 2019 and 2018, accounts receivable from that same subscriber amounted to 23% and 19% of accounts receivable, respectively.

Note 5. Fair Value of Financial Instruments

The Company accounts for certain financial instruments at fair value, in accordance with the provisions of the standard for fair value measurement, which utilizes a three-tier hierarchy to determine the fair value of financial assets and liabilities based on the quality of observable inputs and enhances disclosure requirements for fair value measurement. The three tiers are:

- Level 1 – Quoted prices (unadjusted) for identical assets or liabilities in an active market;
- Level 2 – Other inputs that are directly or indirectly observable in the market; and
- Level 3 – Unobservable inputs that are supported by little or no market activity.

The fair value of a financial instrument is the amount that would be received to sell the asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date and in the principal or most advantageous market for that asset or liability.

Assets and liabilities on the unaudited interim condensed Consolidated Balance Sheets that are measured at carrying value, which approximates fair value due to the short-term nature of these balances, include prepaid expenses, accrued expenses and other current liabilities and deferred revenue. These balances are classified as Level 1 and Level 2 in the fair value hierarchy.

Note 6. Property and Equipment

Property and equipment consisted of the following:

	June 30, 2019	December 31, 2018	Estimated useful life (years)
Computer software	$ 2,423	$ 1,476	2 - 3
Computer equipment	6,508	5,386	3 - 5
Furniture and fixtures	1,061	1,307	5 - 7
Leasehold improvements	2,801	4,880	Term of lease
Total property and equipment	12,793	13,049	
Accumulated depreciation and amortization	(6,659)	(11,069)	
Total property and equipment, net	**$ 6,134**	**$ 1,980**	

Depreciation and amortization on property and equipment included in the unaudited interim condensed Consolidated Statements of Income amounted to $372 and $639 for the three and six months ended June 30, 2019, respectively, and $258 and $499 during the comparable three and six months in 2018, respectively.

Computer software includes approximately $338 and $439 in unamortized website development costs, as of June 30, 2019 and December 31, 2018, respectively.

(in thousands, except share and per share information)

Note 7. Leases

The Company has two non-cancelable operating leases. One is for office space at 300 Vesey Street, New York, NY that was executed in October 2018 and expires on December 30, 2031. The other is for office space at 100 M Street SE, Washington, D.C. that was amended in May 2016 and expires on June 30, 2021. These operating leases are recorded as operating lease right-of-use assets on the Company's Consolidated Balance Sheet as of June 30, 2019, and represent the Company's right to use of the underlying asset during the lease term. The Company's obligation in respect of future payments due under the leases is included in accrued expenses, other current liabilities and in the operating lease liabilities section on the Company's Consolidated Balance Sheet as of June 30, 2019.

On January 1, 2019, pursuant to the Company's adoption of ASC 842, the Company recognized approximately $17.1 million in right-of-use assets and $17.9 million in lease liabilities, based on the present value of lease payments over the remaining lease terms of the Company's existing operating leases. Operating right-of-use assets include prepaid lease payments and lease incentives. The Company elected not to record short-term operating leases with an initial term of twelve months or less on the its Consolidated Balance Sheet. The Company also elected to account for the fixed payments for the lease and non-lease components (such as common-area maintenance and utility charges) as a single lease component that increases the amount of our lease assets and liabilities.

All operating lease expense is recognized on a straight-line basis over the lease term. Any change in payments due to changes in inflation rates are recognized as variable lease expenses as they are incurred. For the three months ended June 30, 2019, the Company recognized $502 in total operating lease costs, which consisted of $497 in operating lease costs for right-of-use assets and $5 in short-term lease costs related to short-term operating leases. For the six months ended June 30, 2019, the Company recognized $1,263 in total operating lease costs, which consisted of $994 in operating lease costs for right-of-use assets and $269 in short-term lease costs related to short-term operating leases. When the rate implicit in the operating lease is not readily determinable, the Company uses its incremental borrowing rate as the discount rate to determine its lease assets and the present value of its lease liabilities. The incremental borrowing rates approximate the rate the Company would pay to borrow on a collateralized basis for the weighted-average life of the lease.

Supplemental cash flow information related to leases was as follows:

	Three Months Ended	Six Months Ended
	June 30, 2019	
Cash Paid for operating lease liabilities	$ 202	$ 316
Right-of-use assets obtained in exchange for operating lease obligations	-	-

Supplemental balance sheet information related to leases was as follows:

	June 30, 2019
Operating lease right-of use assets	$ 16,585
Other current liabilities	1,935
Operating lease liabilities	16,097
Total operating lease liabilities	18,032
Weighted-average remaining lease term	12 Years
Weighted-average discount rate	4.8%

(in thousands, except share and per share information)

Maturities of lease liabilities were as follows:

Remainder of 2019	$	993
2020		1,988
2021		1,875
2022		1,759
2023		1,759
Thereafter		15,793
Total lease payments		24,167
Less imputed interest		(6,135)
Total	$	18,032

As of December 31, 2018, future minimum lease payments under our leases were as follows:

Fiscal year		Payments due
2019		1,455
2020		1,988
2021		1,875
2022		1,759
Thereafter		17,553
Total	**$**	**24,630**

Occupancy expense included in the unaudited interim Condensed Consolidated Statements of Income was $452 and $921 for the three and six months ended June 30, 2018, respectively.

Note 8. Acquisitions

In February 2019, the Company acquired 100% of the outstanding equity of Qaravan^{SM} Inc. ("Qaravan"), a provider of software, and risk and performance analytics for the banking and finance industry. The Qaravan suite of products provides a portfolio of research, reporting, metrics and analytics that are relevant across the entire banking ecosystem. The Company expects that the acquisition will enhance the breadth and depth of our market data product offerings and further strengthen our relationships with the private and public banking industry.

The purchase price was $851, comprised of $579 in cash, $272 in the form of 8,213 shares of Class A common stock, plus contingent consideration. The Company determined that substantially all of the fair value of the gross assets acquired is concentrated in a group of similar, identifiable assets and based on this determination, and in accordance with ASC 805, accounted for the acquisition as an asset purchase. The purchase price of $851 and $85 of transaction-related expenses have been allocated to Computer Software. The amount of any contingent consideration payable will be based on the Qaravan suite of products generating annual recurring revenues above certain defined targets as of the end of the second anniversary of the acquisition.

(in thousands, except share and per share information)

Note 9. Goodwill and Intangible Assets

Goodwill and intangible assets consisted of the following:

	June 30, 2019		December 31, 2018		Estimated useful life (years)
Goodwill	$	251	$	251	Indefinite
Intangible assets:					
Website	$	100	$	100	2
Subscription services		150		150	8-15
Distributor relations		27		27	15
Intellectual property		40		40	Indefinite
Total intangible assets		317		317	
Accumulated amortization		(277)		(256)	
Intangible assets, net	**$**	**40**	**$**	**61**	

Amortization expense for finite-lived intangible assets was $9 and $21 for the three and six months ended June 30, 2019 and $13 and $25 for the three and six months ended June 30, 2018. No impairment charges were recorded to goodwill or intangible assets during the three and six months ended June 30, 2019 or 2018.

Note 10. Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	June 30, 2019		December 31, 2018	
Payroll and employee withholdings	$	2,897	$	4,976
Accrued operating expenses		946		1,042
Current operating lease liabilities		1,935		-
Total accrued expenses and other current liabilities	**$**	**5,778**	**$**	**6,018**

Payroll and employee withholdings primarily consisted of accrued discretionary bonus, discretionary employer 401(k) contribution, vacation and sales commission. The balance of payroll and employee withholdings as of December 31, 2018 represents a full year of accrual, which was paid out in February 2019.

Note 11. Stock-Based Compensation

OTC Markets Group grants stock options and restricted stock awards (“RSAs”) to employees. The grant date fair value of each stock option is estimated using the Black-Scholes option pricing model and is amortized into compensation expense on a straight-line basis over the requisite service period, which is generally the vesting period. The grant date fair value of each RSA is based on the closing stock price on the day prior to the grant date. These charges are included in compensation and benefits expense and professional and consulting fees on the unaudited interim Condensed Consolidated Statements of Income.

A summary of the Company's option activity for the six months ended June 30, 2019 is as follows:

(in thousands, except W/A exercise price)	Stock options	Weighted-average exercise price	Aggregate intrinsic value	Remaining contractual term (years)
Outstanding, January 1, 2019	681	$ 17.31	$ 8,031	6.71
Granted	103	30.92	70	
Exercised	(78)	14.96	1,383	
Forfeited	(16)	15.76	245	
Outstanding, June 30, 2019	690	$ 19.64	$ 8,497	6.74
Exercisable, June 30, 2019	297	$ 12.45	$ 5,783	4.58

The Company recognized compensation expense related to stock options, net of estimated forfeitures, of $169 and $153 for the three months ended June 30, 2019 and 2018, respectively, and $317 and $279 for the six months ended June 30, 2019 and 2018, respectively. Management has estimated forfeiture rates of 5% for stock options granted to management and 23% for stock options granted to other employees.

At June 30, 2019, unrecognized compensation cost related to non-vested stock options was $1.5 million, which will be recognized over approximately 3.7 years.

A summary of the Company's restricted stock activity for the six months ended June 30, 2019 is as follows:

(in thousands, except W/A fair value)	Restricted stock	Weighted-average fair value	Aggregate intrinsic value
Outstanding, January 1, 2019	282	$ 20.15	$ 8,185
Granted	100	29.75	3,003
Vested	(96)	17.55	2,881
Forfeited	(4)	19.75	131
Outstanding, June 30, 2019	282	$ 24.47	$ 9,000

The Company recognized compensation expense, net of estimated forfeitures, of $453 and $361 for the three months ended June 30, 2019 and 2018, respectively, and $1,054 and $851 for the six months ended June 30, 2019 and 2018, respectively. Management has estimated forfeiture rates of 9% for RSAs granted to management and 15% for RSAs granted to other employees. In addition, the Company also recognized professional fees of $38 for each of the three months ended June 30, 2019 and 2018, and $75 for each of the six months ended June 30, 2019 and 2018, related to the issuance of RSAs to the Board of Directors.

At June 30, 2019, unrecognized compensation cost related to non-vested RSAs totaled $5.4 million, which will be recognized over approximately 3.6 years.

Note 12. Contingencies

Partial Self-Insurance Reserves

Effective January 1, 2018, the Company switched from a fully insured employee health insurance policy to a partially self-insured plan. Under the new plan, the Company contracted a third-party administrator ("TPA") to access healthcare carriers, process claims, and facilitate the provision of specific and aggregate stop-loss coverage to limit our total exposure under the program. Accordingly, we record the TPA's administrative fees, insurance carrier fees, and stop-loss coverage premiums, as well as expected claims costs, on a straight-line basis over the annual coverage period. The Company's total cost of claims represents 80% of the Company's maximum liability for claims based on coverage provided under our specific and aggregate stop-loss policies. As claims are reported and paid, the liability is relieved. As of June 30, 2019, the estimated claims, fees and premiums accrued were lower than the premiums and fees paid to the TPA by $46. This amount was recorded as a current asset in the prepaid expenses and other current assets section on our Consolidated Balance Sheet.

Legal Matters

There are no current, past, pending or threatened legal proceedings or administrative actions either by or against OTC Markets Group that could have a material effect on its business, financial condition or operations. OTC Markets Group is not a party to any past or pending trading suspensions by a securities regulator.

Note 13. Stockholders' Equity

Common Stock

The Company has one class of shares, Class A common stock, outstanding. Holders of Class A common stock, which include holders of unvested RSAs, are entitled to receive such dividends and other distributions in cash, stock of any corporation or property of the Company as may be authorized and declared by the Board of Directors from time to time out of the assets or funds of the Company legally available for the payment of dividends. Upon the voluntary or involuntary liquidation, dissolution or winding up of the Company, holders of Class A common stock are entitled to a pro rata share of the net assets of the Company available for distribution in proportion to the number of shares of Class A common stock held by each.

The Company is authorized to issue 14,000,000 shares of common stock at $0.01 par value. As of June 30, 2019 there were a total of 12,169,142 shares issued and 11,635,446 shares outstanding. As of December 31, 2018 there were a total of 12,035,941 shares issued and 11,548,956 shares outstanding.

Treasury Stock

In August 2011, the Board of Directors authorized the Company to repurchase up to 300,000 shares of Class A common stock in compliance with Rule 10b-18 under the Securities Exchange Act of 1934 (the "Exchange Act"). On March 6, 2019, the Board of Directors refreshed the Company's stock repurchase program, authorizing the repurchase of up to 300,000 shares of Class A common stock.

During the six months ended June 30, 2019, the Company repurchased 46,711 shares of Class A common stock at an average price of $29.75 per share for a total of $1,390. During the same prior year period, the Company repurchased 40,325 shares of Class A common stock at an average price of $25.99 per share for a total of $1,047. All repurchased shares are held in treasury. As of June 30, 2019, there are 300,000 shares remaining to be purchased under the stock repurchase program.

Dividends

The Company declared a cash dividend of $0.15 and $0.14 per Class A share during the three months ended June 30, 2019 and 2018, respectively, totaling $1,745 and $1,615, respectively. The Company declared cash dividends of $0.30 and $0.28 per Class A share during the six months ended June 30, 2019 and 2018, respectively, totaling $3,488 and $3,226, respectively.

Equity Incentive Plan

The Company's Equity Incentive Plan (the "Plan"), as approved by the Board of Directors on June 2, 2009, provides for the grant of incentive stock options, non-statutory stock options, restricted stock, restricted stock units, stock appreciation rights, performance units and performance shares and bonus shares, and governs options awarded (Refer to Note 11, *Stock-Based Compensation*). In each of November 2018 and 2017, the Board of Directors authorized the increase in the number of shares available for issuance under the Plan by 200,000 shares.

Note 14. Income Taxes

The Company's effective tax rate was 19.8% and 20.4% for the three months ended June 30, 2019 and 2018, respectively, and 16.4% and 19.2% for the six months ended June 30, 2019 and 2018, respectively. The rates reflect the inclusion of state and local income taxes at the federal statutory rate of 21%. The effective tax rate differs from the federal statutory rate primarily due to the recognition of the U.S. federal research and development credit, the impact of the Foreign-Derived Intangible Income deduction available pursuant to provisions of the Tax Cuts and Jobs Act, and the impact of excess tax benefits from share-based compensation. During the first six months of 2019 and 2018, we recognized an income tax benefit related to the excess tax benefit on stock based compensation of $524 and $539, respectively.

As required by the uncertain tax position guidance in FASB Accounting Standards Codification Topic 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more-likely-than-not threshold, the amount recognized in the financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon settlement with the relevant tax authority. The gross amount of unrecognized tax benefits as of June 30, 2019 and December 31, 2018 was $1,298 and $1,168, respectively, and was classified in income tax reserve in the unaudited interim condensed Consolidated Balance Sheets. It is not reasonably possible that any unrecognized tax benefits related to state nexus will reverse within the next twelve months from settlements with taxing authorities.

The Company recognizes interest and penalties related to unrecognized tax benefits as a component of tax expense. The Company recognized interest and penalties of $39 and $27 for the three months ended June 30, 2019 and 2018, respectively, and $54 and $37 for the six months ended June 30, 2019 and 2018, respectively. Interest and penalties accrued as of June 30, 2019 and December 31, 2018 were $343 and $290, respectively.

Note 15. Earnings Per Share

The Company calculates earnings per share pursuant to the two-class method, which is an earnings allocation formula that determines earnings per share for common stock and participating securities according to dividends declared and participation rights in undistributed earnings. Under this method, all earnings (distributed and undistributed) are allocated to common shares and participating securities based on their respective rights to receive dividends. RSAs granted to employees (Refer to Note 11, *Stock-Based Compensation*) participate in dividends on the same basis as common shares and such dividends are nonforfeitable by the holder. As a result, these RSAs meet the definition of a participating security.

The tables below present the calculations of earnings per share under the two-class method:

Basic Earnings per common share

	Three Months Ended June 30,		Six Months Ended June 30,	
(in thousands, except shares and per share data)	2019	2018	2019	2018
Net income available to common shareholders	$ 3,567	$ 3,987	$ 7,114	$ 7,734
Less: Undistributed earnings allocated to unvested RSAs	(44)	(59)	(88)	(111)
Less: Dividend equivalents on unvested RSAs	(42)	(40)	(85)	(80)
Net income allocated to common shareholders	$ 3,481	$ 3,888	$ 6,941	$ 7,543
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	11,353,189	11,240,863	11,351,773	11,237,525
Basic earnings per share	$ 0.31	$ 0.35	$ 0.61	$ 0.67

Diluted Earnings per common share

	Three Months Ended June 30,		Six Months Ended June 30,	
(in thousands, except shares and per share data)	2019	2018	2019	2018
Net income available to common shareholders	$ 3,567	$ 3,987	$ 7,114	$ 7,734
Less: Undistributed earnings allocated to unvested RSAs	(43)	(57)	(85)	(108)
Less: Dividend equivalents on unvested RSAs	(42)	(40)	(85)	(80)
Net income allocated to common shareholders	$ 3,482	$ 3,890	$ 6,944	$ 7,546
Shares of common stock and common stock equivalents				
Weighted-average common shares outstanding	11,353,189	11,240,863	11,351,773	11,237,525
Dilutive effect of employee stock options and RSAs	325,371	359,967	336,920	362,847
Weighted-average shares used in diluted computation	11,678,560	11,600,830	11,688,693	11,600,372
Diluted earnings per share	$ 0.30	$ 0.34	$ 0.59	$ 0.65

Note 14. Regulatory Authorities

OTC Link LLC is a U.S. registered broker-dealer and is subject to the net capital requirements of Rule 15c3-1 under the Exchange Act. Rule 15c3-1 requires the maintenance of net capital, as defined, which shall be the greater of $5 or 6-⅔% of aggregate indebtedness, as defined. OTC Link LLC's regulatory net capital as of June 30, 2019 and December 31, 2018 was $3,081 and $3,305, respectively, which exceeded the minimum net capital requirement by $2,953 and $3,153, respectively.

Note 15. Subsequent Events

For purposes of disclosure in the unaudited condensed consolidated financial statements, the Company has evaluated subsequent events through August 7, 2019, the date the financial statements were available to be issued.

On August 6, 2019, the Board of Directors authorized and approved a quarterly cash dividend of $0.15 per share of Class A common stock. The quarterly dividend is payable on September 26, 2019 to our stockholders of record as of September 12, 2019.

EXHIBIT 9.1

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER

I, R. Cromwell Coulson, Chief Executive Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;

2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ R. Cromwell Coulson
R. Cromwell Coulson
Chief Executive Officer

August 7, 2019
Date

EXHIBIT 9.2

CERTIFICATION OF PRINCIPAL FINANCIAL OFFICER

I, Beatrice Ordonez, Chief Financial Officer of OTC Markets Group Inc., certify that:

1. I have reviewed this Quarterly Report of OTC Markets Group Inc.;

2. Based on my knowledge, this Quarterly Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Quarterly Report; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this Quarterly Report, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this Quarterly Report.

/s/ Beatrice Ordonez
Beatrice Ordonez
Chief Financial Officer

August 7, 2019
Date